manufacturers to say that a certain packet of biscuits is authorized by the US FDA for sale in the US: this would improve the respect of consumers in India for the level of food safety that has been attained.

This approach also breaks down in the field of drugs owing to the Drug Price Control Order: drugs that are manufactured to FDA standards are unprofitable when sold at DPCO prices.

Example 22: Finance

In the field of finance, we have had an interesting dichotomy between firms listed purely in India vs firms that are also listed in the US. Disclosure laws in the US are better in certain critical respects, so a firm like ICICI Bank releases information owing to its American depositary receipt (ADR) listing which is not ordinarily available to Indian shareholders of banks. In addition, there is stronger liability for ADR issuers. As an example, owners of ADRs on Satyam got damages from PriceWaterhouse while the Indian owners of Satyam shares did not. Through this channel, managers associated with Indian firms that list in the US may be more careful. When this happens, Indian shareholders are free-riding on the US regulatory environment.

Example 23: Telecom

In the field of telecom, regulation is required to deal with one market failure, an externality. This is the possibility that one device may pollute the airwaves and hamper the working of another device. Regulation is required to share the scarce natural resource—the electromagnetic spectrum—and to ensure that each device works within certain rules of the game for emission of radiation. This requires a daunting level of state capacity where every device that is sold in the market needs to be tested in a government-